

POLITECNICO DI MILANO







Firm financial evaluations

Leonardo Boni, PhD
Dipartimento di Ingegneria Gestionale
Politecnico di Milano
leonardo.boni@polimi.it

Entrepreneurial convenience

- Entrepreneurs should not maximize:
  - ownership percentage

- They should maximize:
  - wealth creation

Entrepreneurial convenience

- Without external investors
  - Higher ownership
  - Fewer financial resources
  - Slower growth
  - Lower scalability
- With external investors
  - Lower ownership
  - More capital available
  - Faster growth
  - Higher scalability potential
  - Access to managerial and strategic support

Entrepreneurial convenience

On average, venture-capital-backed firms tend to:

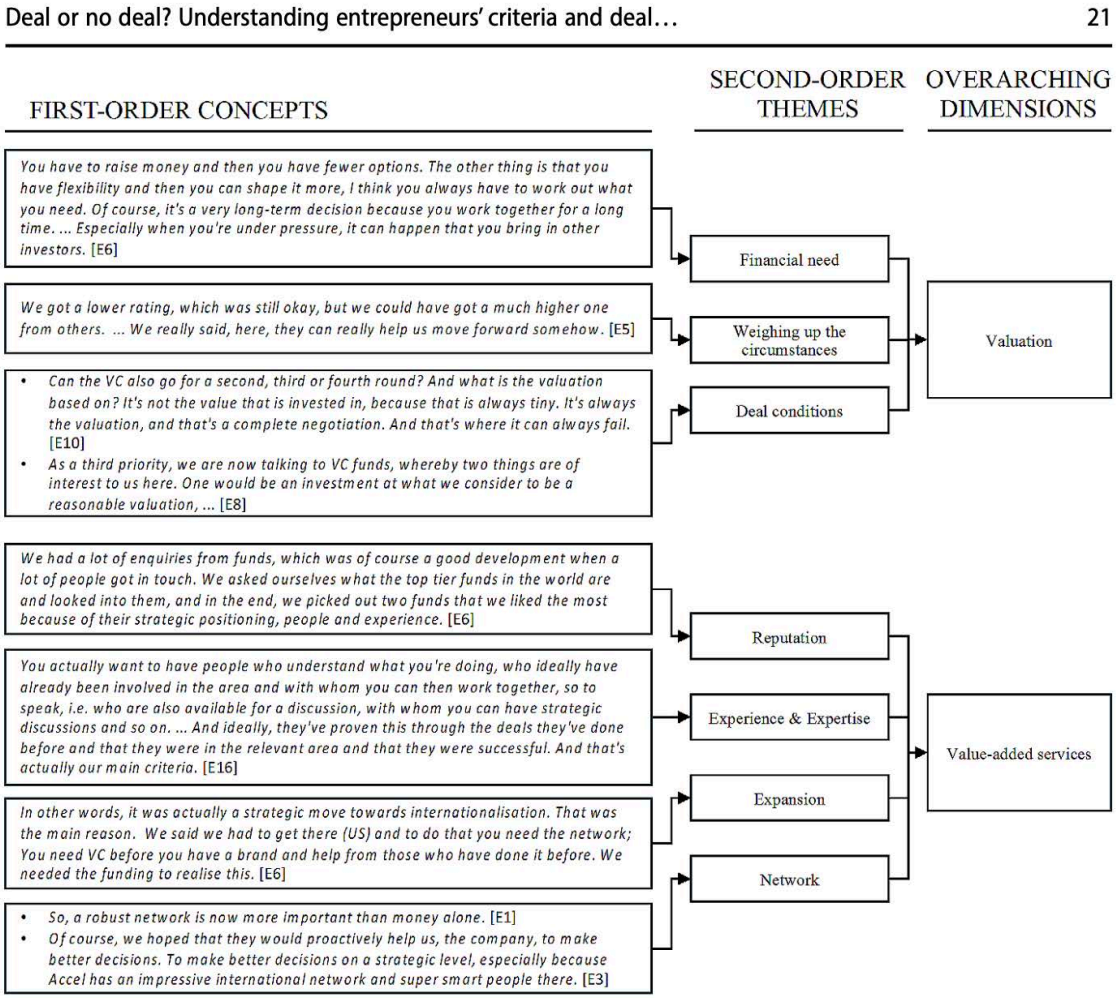
- grow faster
- innovate more
- scale more rapidly
- invest more aggressively
- reach IPO or acquisition more frequently
- achieve higher market valuations

VCs often provide more than capital:

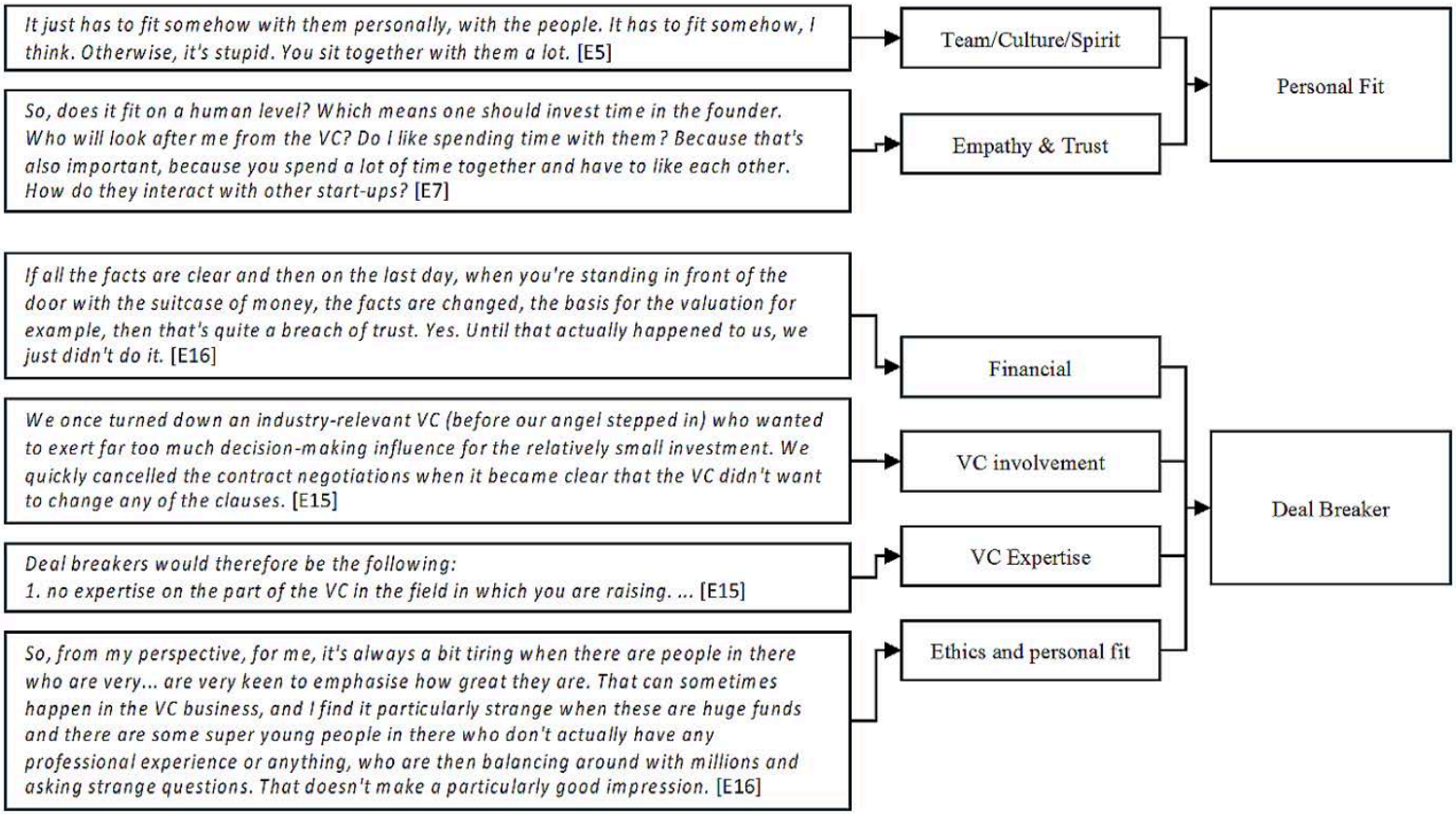
- strategic guidance
- governance and monitoring
- professional networks
- recruiting support
- industry expertise
- market certification

Entrepreneurial convenience

Sturm et al. (2024) - Deal or no deal? Understanding entrepreneurs' criteria and deal breaker in investor selection processes



Entrepreneurial convenience



Entrepreneurial convenience

- Entrepreneurs focus on:
  - long-term value creation
  - quality of the product / traditions / position in a specific market, context / industrial heritage
  - strategic control
  - growth opportunities
  - entrepreneurial / family values that match
- Investment funds focus on:
  - IRR
  - exit value
  - portfolio returns
  - risk-adjusted performance

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Entrepreneurial convenience

A good company is not always a good investment for a fund.

And a good deal for a fund is not always optimal for the entrepreneur.